

SHAREHOLDERS AGREEMENT

THIS AGREEMENT is made on ----- day of [Month], [Year] (the "Effective Date").

BY AND BETWEEN

----- (Company Name), a company incorporated under the (Indian) Companies Act, 2013, holding CIN ----- having its registered office at ----- (hereinafter referred to as the Company, which term shall unless repugnant to the context or meaning thereof, be deemed to mean and include its successors and permitted assigns);

AND

----- (Shareholder or Founder name), holding residing at ----- (hereinafter referred to as the ----- which term shall unless repugnant to the context or meaning thereof, be deemed to mean and include his legal heirs, successors, executors and permitted assigns, as applicable) ;

AND

----- (Shareholder or Founder name), holding residing at ----- (hereinafter referred to as the ----- which term shall unless repugnant to the context or meaning thereof, be deemed to mean and include his legal heirs, successors, executors and permitted assigns, as applicable) ;

The First Promoter and the Second Promoter are collectively referred to as the Promoters, and each individually, as a Promoter.

RECITALS:

- a) The Company is engaged in the business of ----- (Business).
- b) The authorised share capital of the Company is INR ----- (Rupees ----- only) divided into ----- (-----) equity shares having face value of INR ---- (Rupees ----) each. The issued and paid-up share capital of the Company on a Fully Diluted Basis.
- c) The Parties desire to record their rights, obligations, and understandings concerning the management and ownership of the Company.

THE PARTIES, INTENDING TO BE LEGALLY BOUND, AGREE AS FOLLOWS:

1. DEFINITIONS AND INTERPRETATION

1.1 Capitalized terms used and not otherwise defined in this Agreement or its schedules have the meanings set forth below.

- a) **Act** means the Companies Act, 2013, together with any statutory modifications, amendments, or re-enactments thereof for the time being in force.
- b) **Affiliate** means, with respect to any person, any entity that directly or indirectly controls, is controlled by, or is under common control with such person.
- c) **Articles** means the Articles of Association of the Company as amended from time to time.
- d) **Agreed Form** shall mean a form of any document/agreement that is mutually agreed or will be mutually agreed to between the Investors and the Promoters.

- e) **Agreement** shall mean this Agreement and the schedules to this Agreement.
- f) **Applicable Law** shall include all applicable statutes, enactments, acts of legislature or parliament, laws, ordinances, rules, bye-laws, regulations, treaties, notifications, agreements, guidelines, policies, directions, directives and orders of any government, statutory authority, tribunal, board, court or recognised stock exchange.
- g) **Board** means the Board of Directors of the Company.
- h) **Business Day** shall mean a day on which banks are open for business in ----- for carrying out high-value clearing of cheques and for effecting the transfer of payments through any payment system regulated by the Reserve Bank of India.

i) **Charter Documents** shall mean collectively the existing Memorandum and Articles of the Company as amended or modified from time to time.

j) **Equity Shares** shall mean equity shares of the Company having face value of INR --- (Rupees -----) each.

1.2 The schedules form part of this Agreement and shall have effect as if set out in full in the body of this Agreement.

1.3 All obligations of the Promoters under this Agreement are joint and several and references to the Promoters herein shall mean any and all of the Promoters.

2. CAPITAL STRUCTURE OF THE COMPANY

2.1 The present authorized share capital of the Company is INR ----/- (Indian Rupees -----Only). The present issued and paid-up share capital of the Company is INR ----/- (Rupees-----) consisting of ----[-----] Equity Shares of INR ----/- each and are held as provided in the Table herein below:

2.2 Unless otherwise specified in this Agreement, or agreed to in writing by the shareholders and their respective permitted transferees, shareholders shall, throughout the term of the Agreement, hold shares of the proposed issued, subscribed and paid-up share capital of the Company as per the proportions laid out hereinabove.

2.3 Voting Rights

All Equity Shares held by the Shareholders in accordance with the proportion laid out hereinabove shall carry equal voting rights.

2.4 Dividends

The Board of Directors of the Company shall at its own discretion and in accordance with and as permitted under the provisions of the Act, declare at the end of each financial year, the dividends, based on the profits of the Company during the relevant financial year. Subject to applicable Laws, the profits so declared as dividends by the Company shall be distributed to the Shareholders, in the proportion of their shareholding in the Company.

3. GENERAL MEETING OF SHAREHOLDERS

3.1 The Company shall hold at least --- (---) general meeting of the shareholders of the Company in any given calendar year. All general meetings of the Shareholders of the Company shall be governed by the Act, the Articles and this Agreement.

3.2 The Company shall provide prior written notice of every General Meeting to all Shareholders together with the agenda and supporting documents. Any meeting convened at shorter notice shall require the consent of the Shareholders entitled to attend and vote at such meeting.

3.3 The General Meeting shall be presided over by the Chairman. The Chairman of the General Meeting shall be -----;

3.4 Notice of meetings of Shareholders shall, in the case of a person being a Party hereto, not resident in India, be faxed or emailed to him to the address as available on the records

3.5 Quorum and Voting at Shareholder Meetings:

3.5.1 Except as otherwise provided under the Act or the Articles, all matters placed before a General Meeting shall be decided by the Shareholders entitled to vote thereon.

3.5.2 The quorum for a General Meeting shall be as prescribed under the Act and the Articles.

4. MANAGEMENT OF THE COMPANY

The Board shall be responsible for the supervision and management of the Company and for the formulation of the policies to be applied in the conduct of the Business of the Company.

The Board shall consequent to the execution of this Agreement and on Effective Date consist of:

SIGNED by the within named Purchaser

Purchaser Name:

Address:

Signature

For (Company Name)

Name: (Authorized person)

Address:

Signature

to the remaining Shareholders on the same terms and conditions. The remaining Shareholders shall have ____ (___) days from the date of receipt of such offer to exercise their right to purchase the Shares.

6.2 Tag-along and Drag along Rights

6.2.1 Tag-Along Rights: If any Shareholder or group of Shareholders holding a majority of the Equity Shares proposes to transfer its Shares to a third party, the remaining Shareholders shall have the right, but not the obligation, to participate in such transfer and sell their Shares to the proposed purchaser on the same terms and conditions.

6.2.2 Drag-Along Rights: If Shareholders holding more than ____ % of the Equity Shares approve a transfer of Shares resulting in the sale of the Company to a third party, such Shareholders shall have the right to require the remaining Shareholders to sell their Shares to the proposed purchaser on the same terms and conditions.

7. TERM AND TERMINATION

This Agreement shall come into effect on the Effective Date and shall continue in full force and effect until terminated in accordance with the provisions below:

- a) Termination by Mutual Consent: This Agreement may be terminated at any time by the mutual written consent of all the Shareholders.
- b) Termination upon Single Ownership: This Agreement shall automatically terminate if all the Equity Shares of the Company come to be legally and beneficially owned by a single Shareholder.
- c) Termination upon Liquidation: This Agreement shall terminate if the Company is wound up, dissolved, or liquidated by an order of a court of competent jurisdiction or under Applicable Law.

- d) Termination for Material Breach: If any Shareholder commits a material breach of any terms of this Agreement, and fails to remedy such breach within [Number] Business Days after receiving a written notice detailing the breach, the non-breaching Shareholders may terminate this Agreement with respect to the breaching Shareholder without prejudice to any other rights or remedies available under Applicable Law.
- e) Effect of Termination: Termination of this Agreement shall not affect any rights, liabilities, or obligations that have accrued to any party prior to the date of termination.

8. OTHER OBLIGATIONS OF THE SHAREHOLDERS

8.1 Confidentiality and Intellectual Property

- 8.1.1 Each Shareholder shall keep confidential and shall not disclose any confidential or proprietary information relating to the Company, its business, affairs, customers, operations, finances, or intellectual property, except as required by law or with the prior written consent of the Company.
- 8.1.2 The obligations of confidentiality shall not apply to information which:
 - (a) is publicly available other than through a breach of this Agreement;
 - (b) was lawfully known to the receiving Shareholder prior to disclosure;
 - (c) is lawfully received from a third party without restriction; or
 - (d) is independently developed without reference to the confidential information.
- 8.1.3 All intellectual property developed, created, acquired, or owned by the Company shall remain the exclusive property of the Company. No Shareholder shall use, exploit, disclose, or claim any right over such intellectual property except as authorised by the Company or under applicable law.

9. Non-Compete

- 9.1 During the term of this Agreement, no Shareholder shall, directly or indirectly, engage in or be associated with any business that competes with the business of the Company, except with the prior written consent of the other Shareholders.
- 9.2 Nothing in this Clause shall restrict a Shareholder from making passive investments in any entity, provided that such investment does not result in participation in the management or control of a competing business.

10. EQUITABLE RELIEF

The Parties acknowledge that a breach of certain provisions of this Agreement may cause irreparable harm for which monetary damages may not be an adequate remedy. Accordingly, in addition to any other rights or remedies available under applicable law, the non-breaching Party shall be entitled to seek injunctive relief, specific performance, or any other equitable remedy to prevent or remedy such breach.

11. MISCELLANEOUS

11.1 Death of Shareholder:

In the event of the death of a Shareholder, his shares shall automatically stand transmitted to his legal heirs, and they shall be bound by the same restrictions as to transferability of such shares as stipulated herein. However in the event of the legal heirs opting not to retain the shares, such shares shall be offered, subject to other terms of this Agreement, to the other Shareholders in proportion to their shareholding in the Company at Fair Market Value as determined by the statutory auditor of the Company.

11.2 Breach and Remedies

Any breach of this Agreement by a Shareholder shall entitle the non-breaching Parties to exercise such rights and remedies as may be available under this Agreement and applicable law.

11.3 Governing Law and Dispute Resolution

11.3.1 This Agreement, and all transactions contemplated hereof, shall be governed by, construed and enforced in accordance with the Laws, rules and regulations of India.

11.3.2 The Shareholders herein agree, that apart from the above applicable Laws, the Shareholders shall also be bound by any shareholders' agreement, signed with other current/future investors in the Company, whose terms, conditions and restrictions shall be binding on the Company and the Shareholders

11.3.3 In the event of any dispute, controversy, or claim arising out of or in connection with this Agreement, including its interpretation, performance, breach, termination, or validity, the Parties shall first attempt to resolve such dispute through amicable discussions and negotiations.

11.3.4 If the dispute is not resolved amicably within ____ (___) days from the date of written notice of the dispute, the same shall be referred to and finally resolved by arbitration in accordance with the provisions of the Arbitration and Conciliation Act, 1996, as amended from time to time.

11.3.3 The arbitration shall be conducted by a sole arbitrator mutually appointed by the Parties. The seat and venue of arbitration shall be as mutually agreed by the Parties or as determined in accordance with applicable law.

11.3.5 The award of the Arbitrator shall be final and conclusive and binding upon the Parties, and the Parties shall be entitled (but not obliged) to enter judgement thereon in the court having jurisdiction. Each of the Parties shall bear its own costs and expenses in relation to the arbitration.

11.4 Amendments

No modification or amendment to this Agreement and no waiver of any of the terms or conditions hereof shall be valid or binding unless made in writing and duly executed by the all the Parties.

11.5 Counterparts

This Agreement may be executed in any number of counterparts and by the parties to it on separate counterparts, each of which shall be an original, but all of which together shall constitute one and the same instrument.

IN WITNESS WHEREOF, THIS AGREEMENT HAS BEEN EXECUTED BY EACH OF THE INDIVIDUAL PARTIES HERETO ON THE DATE FIRST ABOVE WRITTEN

For

Company Name:

Name and Designation:

Shareholder/ Promoter 1:

Shareholder/ promoter 2:

SCHEDULE 1

RESERVED MATTERS

The following matters shall require the prior approval of the Shareholders in accordance with this Agreement:

1. Alteration of the Memorandum of Association or Articles of Association of the Company.
2. Issue, allotment, transfer, buy-back, or redemption of securities of the Company.
3. Any merger, amalgamation, demerger, reconstruction, or winding up of the Company.
4. Change in the nature or scope of the business of the Company.
5. Borrowing or creation of any security over the assets of the Company beyond limits approved by the Shareholders.
6. Sale, lease, transfer, or disposal of all or a substantial part of the Company's assets or undertaking.
7. Approval of any transaction with related parties other than in the ordinary course of business.
8. Any matter which materially affects the rights of the Shareholders or the business of the Company.